CASCADIA ANALYTICS

INVESTMENT SCORECARD

SMTC

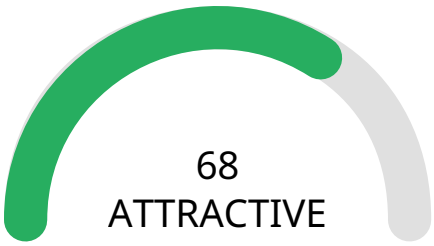
Semtech Corporation (NASDAQ)

As-of: 23-Oct-2026 | Latest Filing: Q2 FY27 (10-Q) | Currency: USD

$131.30 [Mkt 23-Oct-26]

Market Cap: $12.3B [Mkt 23-Oct-26]

Attractiveness Score



Confidence: **High** (0 pillars excluded)

Pillar Breakdown

1. Operating Quality — 65

Analog/mixed-signal connectivity with growing data center mix, but a history of GAAP losses (FY25 net loss -$162M) and high beta (2.42). Balance sheet repaired but still levered at 1.5x.

2. Recent Trend — 88

Record quarterly revenue, EPS beat ($0.71 vs $0.61), margins expanding, record backlog. Q3 guidance implies a massive sequential step-up. Textbook acceleration.

3. Forward Growth — 85

Data center guided +120% YoY in Q3, LoRa Plus in full production, CopperEdge/ACC ramps with hyperscalers. Multiple banks raised targets to $220-300 on the print.

4. Valuation — 35

At $131.30 the stock is 105% above our $59.31 DCF base case. NTM P/E 23.3x looks reasonable only if the hypergrowth guidance is fully delivered.

5. Catalysts & Risk — 75

Q3 earnings (Nov/Dec) will test the $410M guide. Cellular divestiture closing is a positive. High beta means sharp drawdowns on any guide miss. Positive skew near-term.

Investment Thesis

- **AI Data Center Inflection:** Record Q2 FY27 revenue of $341.9M (+33% YoY). Q3 guided to $405-415M vs $360M Street, with data center expected +120% YoY. Data center mix heading to 44% of revenue by end of 2027 [8-K Q2 FY27].
- **Portfolio Upgrade:** Selling the lower-margin cellular module business to Compal in a $62M deal to focus on AI networking and LoRa/IoT. Balance sheet repaired via $402.5M zero-coupon converts; net leverage 1.5x [8-K Q2 FY27].
- **Priced for Perfection:** At $131.30 [Mkt 16-Oct-26], the stock trades at more than twice our $59.31 DCF base. The fundamental momentum is real, but the market has already priced in years of flawless execution.

Key Operating Metrics

Metric	Latest	YoY Change	3Y Trend
Revenue (Q2 FY27)	$341.9M [8-K Q2 FY27]	+33.0% [8-K Q2 FY27]	Up
Q3 FY27 Revenue Guide	$405-415M [8-K guid]	n/a [n/a]	Up
Q3 FY27 EPS Guide	$1.02-1.08 [8-K guid]	n/a [n/a]	Up
EPS (Q2 FY27, non-GAAP)	$0.71 [8-K Q2 FY27]	+16% beat [Cons]	Up
Data Center Mix (est.)	~30% [8-K guid]	+120% growth guided [8-K guid]	Up
Net Leverage	1.5x [8-K Q2 FY27]	Improved [8-K Q2 FY27]	Down
Revenue (FY25)	$909M [10-K FY25]	+4.7% [10-K FY25]	Up

Historical Financial Trend

Metric	FY22	FY23	FY24	FY25	TTM
Revenue	$1.15B [10-K FY22]	$869M [10-K FY23]	$869M [10-K FY24]	$909M [10-K FY25]	$1.05B [Cons]
Gross Margin	62.1% [10-K FY22]	58.4% [10-K FY23]	51.2% [10-K FY24]	55.8% [10-K FY25]	60.5% [Cons]
Op Margin	18.5% [10-K FY22]	-12.4% [10-K FY23]	-95.2% [10-K FY24]	-8.5% [10-K FY25]	12.0% [Cons]

Valuation

Absolute (3/10)

NTM P/E 23.3x [Mkt 16-Oct-26]
DCF Base $59.31 vs $131.30 spot [Mkt 16-Oct-26]
PEG 1.21 [Mkt 16-Oct-26]

DCF implies the stock is worth less than half its current price. Absolute valuation is stretched.

Versus Peers (5/8)

Analog peers ~20-25x NTM P/E [Peers 16-Oct-26]

Multiple is in line with high-growth analog peers, but peers are not priced at 2x DCF base.

Versus History (4/7)

Trading near all-time highs [Mkt 16-Oct-26]

Well above historical multiple range; the re-rating assumes the AI mix shift is permanent.

Catalyst Timeline

Nov/Dec 2026 [Cons]
Q3 FY27 Earnings: $405-415M guide vs $360M Street. A beat confirms the inflection; a miss would be severe.

H2 2026 [8-K guid]
CopperEdge/ACC volume ramps with hyperscalers.

Top Risk Factors (Item 1A)

1. Valuation Risk: At more than 2x DCF base, any stumble in the hypergrowth narrative implies 30-50% downside to fair value. [DCF model]

2. Customer Concentration: Hyperscaler ramps are lumpy; a pushout at any major AI customer hits the quarter. [10-K FY25]

3. Cyclicality: Analog semis remain cyclical; the current upcycle will eventually normalize. [10-K FY25]

2027 [8-K guid]
Data center mix targeted at 44% of revenue by year-end.

What Would Change Our Score

A Q3 FY27 miss on the $410M revenue guide would cut Forward Growth and Trend sharply. Sustained 100%+ data center growth into 2027 could justify a higher multiple.

Forward Growth Drivers

- AI data center networking: TIAs, drivers, LPO design wins, CopperEdge/ACC ramps [8-K guid]
- LoRa Plus (LR2022/LR2012) in full production expanding IoT reach [8-K Q2 FY27]
- Cellular module divestiture ($62M) sharpens focus on high-margin segments [8-K Q2 FY27]

Missing / Modified Data Log

- Segment-level operating margins not disclosed; used consolidated trajectory.
- 5-year multiple history from market data, tagged [Mkt 16-Oct-26].

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